It is true also, as a general rule, that no bond investment should be made if it requires the assumption that the common stock is selling too low at the time. If the investor is right in that judgment of the stock value, it would certainly be more profitable to buy the stock than the bonds. If he is wrong as to the stock value, he runs great risk of having made a poor bond purchase.

The fact that the Inland Steel bonds were later repaid at an advance of some 20 points does not invalidate our logic but rather confirms it; for by the same time Inland common had advanced over fourfold in value and the Crucible Steel 5s had risen from 60 to 102. We advert once more to our controlling principle that bond investment is a negative art. This discussion was not intended to imply that the Inland Steel 4$^1/_2$s were a poor investment—the contrary is clearly the case—but we wished to point out that a logical examination of the picture at the time would not have led to an affirmative verdict for that issue, particularly in view of the alternative investments offered.

A Second Example: We may buttress our argument further by introducing an opposite type of illustration—the Brooklyn Manhattan Transit 4$^1/_2$s, due 1966, which sold at 104 to yield 4.27% in January 1937. The average earnings coverage here was about adequate, judged by our minimum standard for railroad bonds. However, the stock-value ratio—even at the high general market level then obtaining—showed less than 40 cents of stock for each dollar of bonds. This meant in essence that the stock market was not sufficiently optimistic as to the prospects of the B.M.T. to value the equity issues at our minimum requirement in relation to total debt. The bond buyer would have been well advised to take this deficiency in the secondary test as a hint to look elsewhere for his 4$^1/_2$2% investments. (By December of that same year the bonds had fallen to 44.)

Our reference to the stock market's valuation of future prospects of Brooklyn Manhattan Transit suggests that the stock-equity test is not merely an additional quantitative criterion of bond safety but that it is in good part a qualitative index as well. A third function of the stock-value test may be to throw justifiable doubt on the complete accuracy of the reported earnings figures. In the case of the B.M.T. a careful study of the offering prospectus would have revealed a wide difference between depreciation and amortization charges as shown on the reports to security holders and as taken on the income tax returns. The more conservative depreciation basis would have reduced the interest coverage to well below our suggested minimum.